

investments are making money, and as a result they are motivated to buy, buy, buy. And who doesn't love that?! Bull markets are typically high-growth times.

**When does a bull or bear market occur?** Typically, a shift of 20% or more from a recent peak or low can trigger an “official” bear or bull market.<sup>5</sup> So basically, if stocks or indices fall more than 20% over a period of time (two months or more), it's considered a bear market, and if they rise more than 20% over a given period of time, it's considered a bull market.

- **During market bubbles.** In market bubbles, stocks are typically overvalued, and prices of stocks are much higher than they are worth. The bubble eventually bursts, as all bubbles do, and prices fall. Bubbles usually occur with “hot” investments when everyone is rushing to buy and inflating the actual value of the investment. A good example of this was the real estate bubble that burst, causing the 2008 financial crisis and recession due to overvalued real estate, easy access to financing (even when people could not afford it), and a lot of speculative behavior on the part of investors. Investors who buy “hot” investments at the height of a bubble usually lose the most. Unfortunately, the impact of market bubbles in specific industries can trickle into other industries and markets. For instance, the 2008 recession had a global impact. So, when it comes to investing, relying on hot stocks is not the way to go.

In summary, when it comes to the economy's behavior and how it impacts your investments, the goal (which this book will help you with) is to ensure your overall portfolio is well-diversified and you have clear objectives and a simple yet effective long-term strategy to build wealth regardless of bears, bulls, or bubbles.

## Take Action

Understanding how the stock market works is a key foundation to becoming a successful investor. You don't have to know all the complexities, but understanding the basics will add to your financial confidence. So, do this: